Acquisition Due Diligence: Related-Party Accounting Questions

To: SSLC Board of Directors and SSLC's accounting firm (A La Carte Solutions; Singer Lewak / Welch & Co. as applicable)
From: John M. Quinn, SSLC Director; Cofounder & CEO, Exos Aerospace Systems & Technologies, Inc.
Date: October 12, 2026
Re: Balances owed to Microcosm, Inc. and Microcosm Astronautics Books: confirmatory diligence for the proposed asset acquisition

As part of Exos's confirmatory diligence, we ask SSLC to document and explain the balances below. These are accounting questions, raised so that every shareholder (including Exos, an 18.06% holder) can rely on the figures used at close. All figures are from SSLC's QuickBooks (Balance Sheet as of 10/11/2026; Transaction Detail by Account, 1/1/2024–10/12/2026). Information stays confidential under the July 27, 2021 NDA.

1. Financial position (per SSLC's books)

Item	Amount
Cash (10/11/2026)	$590,344
AR Unbilled, billed ahead of work (10/11/2026)	($942,177)
Customer deposits	$120,000
Due to Microcosm, Inc. (2385)	$451,429
Notes Payable, Bookstore / Microcosm Astronautics Books (2700)	$320,582
Loan Payable, Wertz (2714)	$92,500
SBA EIDL (2712)	$132,072
Loan Payable, Exos (2720), past due	$31,200 + interest
Total liabilities	$1,296,521
Total paid-in capital (Common $1,010,423 + APIC $4,042)	$1,014,465
Retained earnings / FY27 YTD net income	($2,571,013) / $112,666
Total equity	($1,443,882)
Microcosm receivable (1435) / Loan to Microcosm (1481)	$3,529 / $0

2. Activity with Microcosm entities (per SSLC's books)

- Cash paid by SSLC to Microcosm, Inc. / Microcosm Astronautics Books: $598,794 (2024), $687,286 (2025), $26,136 (2026 YTD).
- Facility costs carried by SSLC (rent, utilities, misc. facilities): $235,037 (2024), $321,547 (2025), $248,553 (2026 YTD), about $805K in total. These were paid through Microcosm invoices through December 2025 and directly to the landlords since January 2026.
- No facility costs are charged back to Microcosm on SSLC's books, although Microcosm continues to occupy and be identified at 3111 Lomita Blvd.
- 4/30/2026 vendor credit: $426,687.03 reclassified from Accounts Payable (Microcosm Inc) to 2385 Due to Microcosm.

- 4/30/2026: $97,301.73 of interest owed to Microcosm Astronautics Books moved into 2700 Notes Payable–Bookstore.
- 4/30/2026: $32,945.99 of 1481 Loan to Microcosm offset against Accounts Payable ('Offset reimbursable against loan').
- 2026 monthly Microcosm invoices booked to 2385 (e.g., "Judy's assistance with SSLC accounting", "AP Paid by Mic"): about $24.7K.

3. Questions for SSLC and its accounting firm

1. Please provide the invoice-level detail (date, invoice number, description, amount, payments applied) supporting the $426,687 reclassified to Due to Microcosm on 4/30/2026, and the full $451,429 balance.

2. What goods or services does each Microcosm invoice represent (rent pass-through, labor, materials, accounting, other)? For any labor, which SSLC jobs did it support?

3. Who approved the 4/30/2026 entries (the $426,687 reclass, the $97,302 interest capitalization, the $32,946 offset)? Please provide any board minutes or written consents authorizing them.

4. What agreement governs Microcosm's use of the shared facility at 3111 Lomita Blvd (lease, sublease, cost-sharing)? What square footage and share does each company occupy, and why is no portion of rent, utilities or facility costs charged to Microcosm?

5. For the ~$1.31M paid to Microcosm entities in 2024–2025: please break it down by category and invoice, and identify any amounts that were Microcosm's own costs.

6. Bookstore note ($320,582): please provide the note, its terms (principal, rate, maturity, security), the borrowing history, and the basis and approval for capitalizing $97,302 of interest.

7. Wertz loan ($92,500): please provide the note, terms and any approvals.

8. Were any of these related-party arrangements disclosed to and approved by the disinterested directors or the shareholders (Cal. Corp. Code §310)? Please provide the records.

9. Are any amounts owed BY Microcosm or Microcosm Astronautics Books TO SSLC (shared costs, reimbursables, the former 1481 loan) that are not booked?

11. Rent split: from January to June 2024 SSLC paid Microcosm $11,470/month, about 50% of the $23,647 facility rent. From July 2024 SSLC paid 100% ($23,647/month, then $24,238 in 2025, then $24,844 paid directly to the landlords in 2026). What changed in July 2024, who approved it, and why is Microcosm's ~50% share (~$316K of rent plus ~$35K of utilities, July 2024–August 2026) not credited against the $451,429 Due to Microcosm? Utilities show the same pattern: about $1,059/month in January–June 2024, then about $2,727/month from July 2024.

12. Loan to Microcosm (1481): SSLC's books show SSLC lent Microcosm $812,699 between 2019 and October 2025 (booked 4/30/2026), then netted it entirely on 4/30/2026 against Microcosm balances ($294,499 Loan Payable–Microcosm; $423,965 pre-6/2025 reimbursables; $61,290 "Judy's time";

$32,946 reimbursable). Please provide the invoices supporting each offset balance, and confirm why $451,429 remains due to Microcosm after SSLC's $812,699 of loans.

13. Please confirm that no related-party debt will be repaid, prepaid or secured before close without disinterested-director approval.

14. Why were SSLC's loans to Microcosm recorded in 1480 Workman's Comp Over/Under rather than a receivable? Please provide the 2019–2023 transfers, the support for the pre-2024 $294,499 Loan Payable–Microcosm, and the approvals for JEs #25925/#25926 (6/30/2025) and the 2026 Microcosm loans and repayments.

4. Requested documents (by October 15, 2026, with the QuickBooks access request)

- Vendor ledgers and all invoices for Microcosm, Inc. and Microcosm Astronautics Books, Jan 2024 to date
- Leases, subleases and any cost-sharing or services agreements with Microcosm entities
- Notes and loan agreements: Bookstore, Wertz, Microcosm
- Board minutes and resolutions relating to Microcosm/Bookstore transactions and the 4/30/2026 entries
- Stock ledger, cap table and subscription agreements (paid-in capital by shareholder)

These questions are raised as standard acquisition diligence so that the figures used at close are complete and supportable. Once answered, Exos will share its reconciliation with all directors.

John M. Quinn
Director, Scorpius Space Launch Company
Cofounder & CEO, Exos Aerospace Systems & Technologies, Inc.